

Eco 104: Introduction to Macro Economics

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Lecture – 1

Lecture Plan

- ① Introduction
- ② Syllabus/Course Plan
- ③ Assessments
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1. Introduction

- Name
- Major
- What do you think macroeconomics is about ?

2. Syllabus/Course Plan

- Text book: Economics, 8th Edition, by Roger A. Arnold (Macroeconomics Part)
- Lecture - 1; Introduction
- Lecture - 2 & 3: Chapter 5; Prices and Unemployment.
- Lecture - 4 & 5: Chapter 6; GDP and Real GDP.
- Lecture - 6 to 8: Chapter 7; AD and AS.
- Lecture – 9 & 10; Chapter 8; The Classical view.
- Lecture – 11 & 12; Chapter 9; The Keynesian View.
- Lecture 13 to 15; Chapter 10; Fiscal Policy.
- Lecture 16 to 18; Chapter 11&12; Money and Monetary Policy.
- Lecture 19 & 20 ; Chapter 13; Money and the Economy.
- Lecture 21 &22: Chapter 14; Monetary Policy

3. Assessments

- Reflective Paper – A one page reflection of what you have learnt during the last two lessons. This will be due the first day of lecture every week (Sun/Mon). 10 papers to be submitted in total, best of 5 will be taken for assessment. (20%)
- Presentation - In groups of 4, you need to present a question in 10-15 minutes. This will be followed by a Q&A session. You will have about a week to prepare. (10%)
- Mid Term 1- (20%)
- Mid Term 2 – (20%)
- Final – (25%)
- Class Participation – (5%)
- Total : 100 %

4. Study Methods

- Maintain a file for Eco 104.

This file will have your 10 reflective paper, course outline, other notes given to you in class.

- Read the text **BEFORE** attending the lecture, at least twice.
Minimum **6 HOURS** of effective study time per week (3 Hours per lecture, previous + next)
- Submit your **reflective papers regularly** and **on time.**
- **Regularity, attentiveness** and **active participation** in class.

= Guaranteed good grade with minimum effort.



5. Class Policies

- Cell phones must be switched off while in class, NOT on silent.
- No caps & no chewing gum in class
- No late submissions will be accepted for **reflective papers.**
- Regularity, punctuality, positive engagement and compliance of discipline.
- Non fulfillment of class policies will result in negative marking from the final grade.

6. Learning Assistance

- Room NAC 824

Office Hours: Sunday and Tuesday 1:00 PM – 4:10 PM

Monday and Wednesday 9:40 AM – 10:15 AM

Or by appointment through e-mail.

- Interaction with instructor should only be through emails and office hours. You are highly encouraged to use your interactions efficiently.
- TA will be available to help from the next week. Visit her regularly to clear your doubts.

For next class....

- You must bring
 1. A file with the course outline in it
 2. The book
 3. Read pages 115 to 125 at least twice
 4. Email your name and section number at:
eco101.ps@gmail.com; to include yourself in the student mailing list.
 5. Check this email regularly for announcements and notes

Now let's get started

- Broad ambition of economics is to understand people better.
- Economists are like engineers
- Noble Prize since 1990s for making human lives better
- Ultimate motto to bring economic and social justice.
- But first we need to familiarize with the tools and problems etc.
- Tools do not necessarily always mean models and numbers; ie: development problem in Nairobi, India.

Macroeconomics is a branch of economics that deals with the entire economy. It is interested in the overall behavior of the economy

- The whole is greater than the sum of all parts. Example: Reduced spending by one family leads to economic slump

Price level and indexes

- Price level – is a weighted average of the prices of all goods and service measured using an index, often the CPI
- Price level $\neq$ Price
- The indices covered eight commodity groups which are:
 1. Food, beverage and tobacco
 2. Clothing and footwear
 3. Gross rent, fuel and lighting
 4. Furniture, furnishings ,household equipment & operation
 5. Medical care and health expenses
 6. Transport and communications
 7. Recreation, entertainment, education and cultural services
 8. Miscellaneous goods and services

- Worked Example:

Q. Due to drought, citrus harvest was destroyed and prices of oranges, grapefruit & lemons increased from Tk. 0.2 to Tk. 0.4, Tk. 0.6 to Tk. 1.00 & Tk. 0.25 to Tk. 0.45 respectively. How much has the price of citrus fruit increased ?

Solution:

Instead of finding out for each we can do **Average**.

For all goods and services, economists track changes for a typical basket of goods – **the market basket**. We need weighted average for better measures. The year chosen as a point of reference of benchmark is called the **base year**.

CPI contd.

- Suppose the market basket has 200 oranges, 50 grapefruit and 100 lemons for One year, then

	Pre Drought	Post Drought
Price of Orange	0.2	0.4
Price of Grapefruit	0.6	1.00
Price of Lemon	0.25	0.45
Cost of market basket	$(200 \times 0.2) + (50 \times 0.6) + (100 \times 0.25) = \text{Tk. } 95$	$(200 \times 0.4) + (50 \times 1.00) + (100 \times 0.45) = \text{Tk. } 175$

- Price index in a given year = $\frac{\text{Cost of market basket in a given year}}{\text{Cost of market basket in base year}} \times 100$

$$= \frac{175}{95} \times 100 = 184.2$$

CPI contd.

- CPI is the most common price index.
- Now, try finding out price index value for the base year.
- The CPI for the base year is 100 which makes it easier to compare.
- Thus from the price index value above, it is clear that prices have increased by 84.2% for drought from base year.

CPI Example:

Use 1999 as the base year. Calculate the inflation rate between 2000 and 2001.

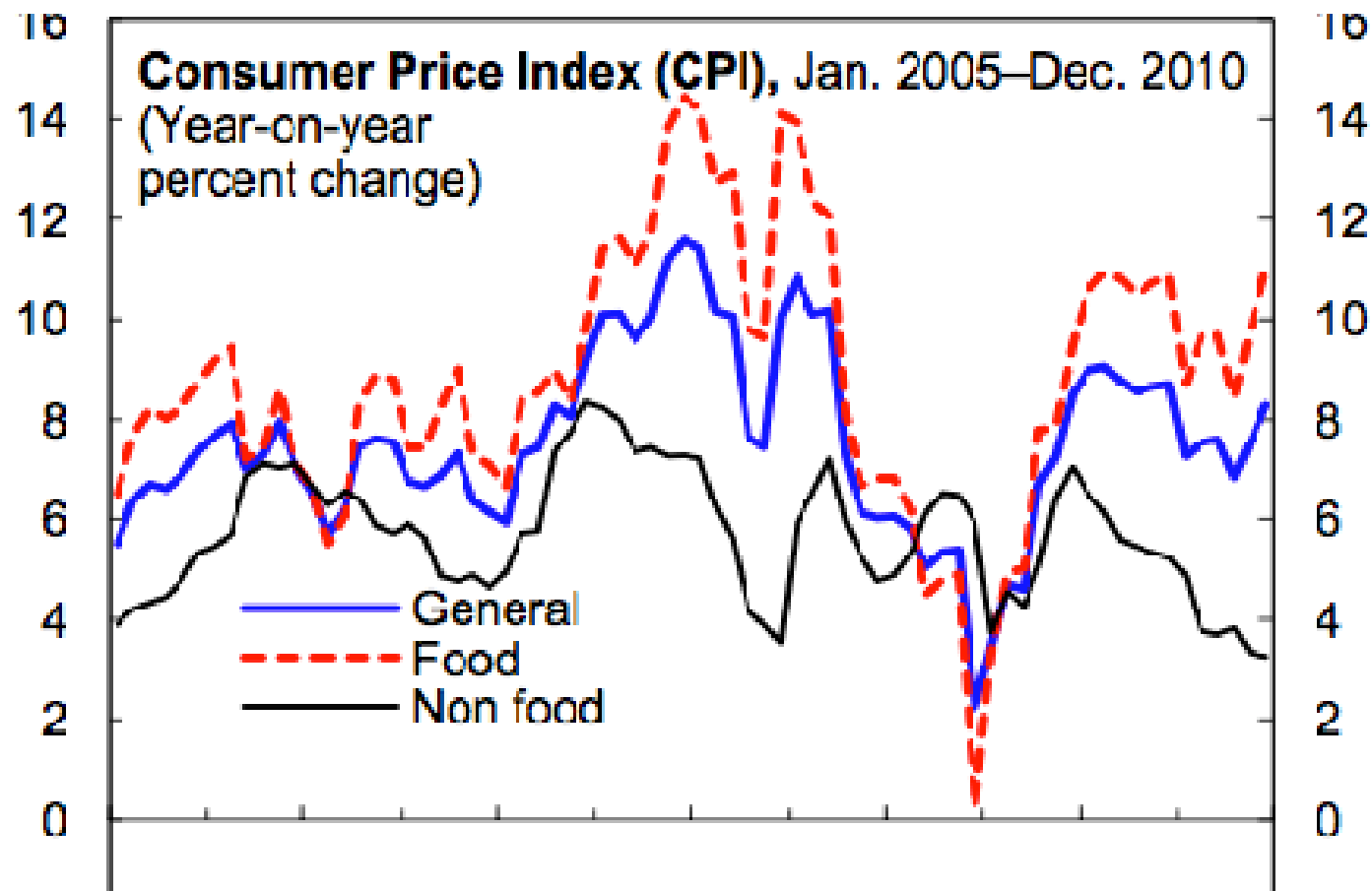
Year	Price of a Gun	Quantity of Guns	Price of Apple	Quantity of Apples
1999	\$50	3	\$.50	1000
2000	\$60	3	\$.75	900
2001	\$70	1	\$1.00	950

Inflation

- It is the increase in price level
- Price indexes are very useful to calculate inflation.
- Inflation rate =
$$\frac{\text{Price index in year 2} - \text{Price index in year 1}}{\text{Price index in year 1}} \times 100$$
- Price indices help us track price changes over the years for a particular market basket.
- Are our incomes actually increasing ?
- Nominal income: the currency-value of a persons income
- Real income: nominal income adjusted for price changes
- Real Income =
$$\frac{\text{Nominal income} \times 100}{CPI}$$

CPI

CPI trend for Bangladesh shows, headline inflation is rising, driven mainly by food price inflation.



Calculating Real Income

- If your nominal income is \$50,000 and your real income in base year prices is \$62,500, what is the CPI?
- Disadvantages of using CPI: It overvalues the true cost of living because:
 - 1 Substitution bias
 - 2 Innovation may lead to fall in consumer prices